

Weekly Rates Report: May 4 – May 8

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Iran headlines continue to dominate rates, with a resilient US labour market and renewed UK political uncertainty in focus.

Disclaimer:

This document is largely based on data and articles sourced from the student version of the Reuters Terminal and may therefore contain minor inaccuracies. Sources are cited throughout; Where no citation is provided, the content reflects either personal analysis, which may be incomplete, or the broader Reuters narrative. Feedback is highly appreciated to help improve understanding and analysis.

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Market Overview

Rates markets were once again primarily driven by oil-led inflation expectations this week, closely tied to developments in US–Iran negotiations. Early in the week, the launch of “Project Freedom” by Donald Trump and the resulting Iranian attacks in the Strait of Hormuz triggered a sharp spike in oil prices, leading to a broad global bond sell-off. This move progressively reversed over the course of the week, as easing tensions and reports of a potential framework agreement between the US and Iran weighed on oil prices. As a result, bond markets retraced most of the initial move, with global yields ultimately ending the week lower in a volatile environment.

Unlike the previous week, however, domestic factors also played a more visible role. In the US, stronger-than-expected April labour market data pushed back against easing expectations, reinforcing the “higher for longer” narrative and driving a relative underperformance of US rates, particularly at the front end. In parallel, US Treasury financing developments also drew attention, with higher borrowing needs and stable bonds issuance maintaining a focus on supply.

In the UK, renewed political uncertainty around local elections triggered significant volatility, particularly on the long end. Gilts initially sold off sharply, with 30y yields reaching multi-decade highs, before reversing part of the move as Prime Minister Starmer sought to reassure markets despite weak early election results. Overall, the combination of political risk, fiscal concerns and sensitivity to energy prices kept UK rates under close scrutiny throughout the week.

➤ **Major Economic Data Releases – Week of May 4**

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
5 May	ISM Services PMI	April	53.7	53.6	54
7 May	Initial Jobless Claims	27 April – 2 May	205k	200k	190k
8 May	NFP	April	62k	115k	178k
8 May	Unemployment Rate	April	4.3%	4.3%	4.3%
8 May	U Mich Sentiment (prelim)	May	49.5	48.2	49.8

Source: Reuters

➤ **Macro Developments & Key Indicators**

US rates came under pressure over the week, particularly at the front end, as resilient macro data and ongoing supply dynamics reinforced the “higher for longer” narrative.

On the macro side, April labour market data surprised the upside. Nonfarm payrolls came in at 115k, above expectations (62k), while the unemployment rate held steady at 4.3%. Although payroll growth moderates compared to the upwardly revised March print, the overall resilience of the labour market pushed back against expectations of near-term Fed easing. In that context, several institutions, including Barclays, revised their outlook and now expect the Fed to remain on hold this year, removing previous expectations of rate cuts.

In parallel, US Treasury financing developments remained a key focus. The Treasury revised its Q2 borrowing estimate higher to \$189bn, \$79bn above its February projection, reflecting weaker-than-expected cash inflows. Looking ahead, borrowing is expected to reach \$671bn in Q3, following \$577bn in Q1. Despite higher funding needs, the Treasury signalled it would maintain coupon auction sizes unchanged for at least the coming quarters, with upcoming issuance including \$58bn in 3y, \$42bn in 10y and \$25bn in 30y securities. However, T-bill issuance is expected to increase to meet short-term liquidity needs.

Markets also paid close attention to the quarterly refunding announcement, with investors assessing the balance between stable long-end supply and rising overall borrowing needs. In addition, discussions within the TBAC around the possibility for the Treasury to lend into the repo market drew attention. Such a move could help alleviate liquidity pressures by redeploying cash held in the Treasury General Account (currently around \$900bn), which otherwise drains reserves from the system, while potentially offering a more attractive return depending on the spread between repo rates and the IORB.

➤ **Rates Curve Movements**

- Front-end underperformance driven by strong US labour market data (+0.5bps on UST 2y). 2s30s UST twist flattening (-2.4bps)
- US front-end also underperformed on a cross-market basis, with the UST–Schatz 2y spread widening by 4.5bps
- The 2s5s10s cash fly richened by 0.7 bps, while the 2s5s10s swap fly remained broadly unchanged

➤ **Trade ideas** (1) trade ideas below have been developed with members of the Futures program, 2) The inspiration for the trade idea comes from Mizuho strategists)

- 1) The trade idea is based on the view that tensions in the Middle East are likely to stabilize over time, even if that comes with Iran maintaining some degree of control over the Strait of Hormuz following its reopening. In that context, the inflation shock is likely to prove temporary, keeping long-term inflation expectations relatively anchored, as reflected in the US 5y5y Breakeven Forward CPI around 2.45%. As a result, the 10y sector should not materially underperform the long end.

However, repeated Iranian attacks on Gulf infrastructure and the perceived lack of U.S. support could lead Gulf states to reassess the reliability of the U.S. security umbrella and gradually diversify their alliances. This would put pressure on the petrodollar recycling mechanism and, by extension, on structural demand for U.S. Treasuries.

At the same time, the long end is already facing headwinds from rising U.S. debt and increased issuance. Taken together, these factors suggest additional pressure on the 30y sector, supporting a **long 10s30s USTs steepener position**.

- 2) Equity markets are near highs, the labour market remains resilient, and inflation is likely to surprise to the upside amid the energy supply shock. In this environment, Fed cuts this year look unlikely, with the risk that the market begins to price in the possibility of renewed hikes further out.

So **short SFRZ7 (SOFR Dec27)**

➤ **Major Economic Data Releases – Week of May 4**

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
8 May	Employment Change	April	15k	-17.7k	14.1k
8 May	Unemployment Rate	April	6.7%	6.9%	6.7%

Source: Reuters

➤ **Macro Developments & Key Indicators**

In contrast to the US, Canadian labour market data for April pointed to a clear loss of momentum, highlighting weaker underlying resilience. Employment fell by 17.7k, significantly below expectations for a +15k increase and reversing the +14.1k gain seen in March. At the same time, the unemployment rate rose to 6.9% from 6.7%, coming in above consensus.

This softer labour market backdrop led to a modest repricing of the Bank of Canada's policy path, with markets slightly reducing expectations for further rate hikes by year-end, although around 50bps of tightening remains priced in. As a result, Canadian front-end rates outperformed, diverging from the US where strong labour data pushed yields higher and reinforced the "higher for longer" narrative.

➤ **Rates Curve Movements**

- 2y-Swap spread richened by 1.3bps, -7.5bps in the Canada 2Y, with a bull steepening of the 2s10s (+1.8bps)
- UST–Canada spreads widened across the curve, +7.5bps in 2s and +4bps in 10s

➤ Major Economic Data Releases – Week of May 4

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
4 May	HCOB Manufactu PMI Final	April	52.2	52.2	52.2
6 May	HCOB Serives PMI Final	April	47.4	47.6	47.4
6 May	HCOB Composite Final	April	48.6	48.8	48.6

Source: Reuters

➤ Macro Developments & Key Indicators

Euro area rates were volatile at the start of the week, reacting to the sharp rise in oil prices following renewed tensions in the Middle East, which reignited inflation concerns and triggered a sell-off in EGBs. This move partially reversed as oil prices declined on the back of easing tensions and growing optimism around a potential US–Iran agreement. Rates stabilised towards the end of the week despite renewed geopolitical tensions, with overall moves remaining relatively contained.

On the macro side, final PMI releases for April came broadly in line with both expectations and initial estimates, offering little in the way of new information for markets. Manufacturing PMI was confirmed at 52.2, while services and composite PMIs were revised slightly higher to 47.6 and 48.8 respectively. Despite the marginal upward revisions, the composite index remains below the 50 threshold, pointing to continued weakness in overall activity momentum across the euro area.

In spread space, semi-core and peripheral bonds outperformed core markets over the week, with Italy leading the move. This dynamic reflects Italy's higher sensitivity to oil-driven moves: BTPs tend to underperform more significantly during sell-offs linked to rising energy prices, given the country's greater dependence, and conversely outperform during rally phases as spreads retrace.

➤ Rates Curve Movements

- OAT–Bund 10Y spread tightened by 4.7bps, while the BTPS–Bund 10Y spread tightened by 10.8bps to 73bps
- The 2s10s30s OATs fly richened by 6.8bps
- The German curve bull-steepened, with 2s10s +1.5bps
- Asset swap spreads have cheapened: -3bps on the 10y Bund-spread

➤ Trade ideas (own trade ideas)

I stick with last week's trade idea: **long Spain 10Y vs short Belgium 10Y**. The rationale remains intact: Spain continues to benefit from stronger fundamentals and a more favourable supply/demand backdrop, while Belgium looks relatively less supported. Spain 10s have already started to outperform this week, with the SPGB–Bund spread tightening by 1bp to -2bps, and I expect the move to extend towards -5bps

➤ **Major Economic Data Releases – Week of May 4**

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
6 May	S&P Composite PMI	April	52	52.6	52

➤ **Macro developments & Key Indicators**

Gilt markets experienced significant volatility over the week, driven by a combination of global factors and domestic political uncertainty. Following the UK market closure on Monday, gilts caught up with the global sell-off on Tuesday, with yields rising sharply across the curve. The move was particularly pronounced at the long end, with 30y yields reaching a peak of 5.79%, their highest level in nearly three decades.

This sell-off was exacerbated by rising political uncertainty ahead of Thursday's local elections, with investors increasingly concerned about potential implications for fiscal policy. The risk of a leadership challenge within the Labour Party and a possible shift towards a more expansionary fiscal stance contributed to a reassessment of risk, especially given the UK's sensitivity to energy prices and already elevated borrowing costs relative to other developed markets.

Mid-week, gilts benefited from a broader global rally as oil prices declined on the back of easing geopolitical tensions. By the end of the week, gilts (particularly at the long end) outperformed, as Prime Minister Keir Starmer reaffirmed his intention to remain in office despite early election results showing significant losses for the Labour Party.

➤ **Rates curve movements**

- In contrast to EGBs, and in line with USTs, the Gilt 10s30s curve flattened (-2bps)
- The Gilt 10s30s vs UST 10s30s flattener richened by 1.5bps
- For all the reasons outlined above, the 30Y Gilt (-7.2bps) significantly outperformed on a cross-market basis
- The 10Y Gilt swap-spread widened by 3.5bps

➤ **Trade ideas**

Markets are more likely to price ECB hikes than BoE tightening, supported by Europe's lower starting point for rates and the BoE's labour market concerns.

We can therefore expect the €STR Dec27–Dec26 spread to compress, while the SONIA Dec27–Dec26 spread should widen.

In other words, we can favour a **long €STR Dec27–Dec26 flattener vs SONIA Dec27–Dec26 steepener**.

➤ **Major Economic Data Releases – Week of May 4**

Date	Indicator Name	Period	Reuters Poll	Actual	Prior
8 May	S&P Composite PMI	April	N/A	52.2	52.4
8 May	S&P Composite PMI	April	N/A	51	51.2

➤ **Macro developments & Key Indicators**

With Japan's "Golden Week," activity in Japanese rates was very subdued, with little of the volatility seen in transatlantic markets. Yields ended the week largely unchanged.

Markets will be watching the upcoming auctions of benchmark 10-year and 30-year bonds, which, according to strategists at Sumitomo Mitsui Trust Asset Management, are expected to be relatively weak given investor caution ahead of a potential BoJ rate hike. The main focus, however, will be on Scott Bessent's visit to Tokyo next week, as Japan hopes it will provide explicit or implicit support and reinforce the joint efforts of the BoJ and the Ministry of Finance to support the yen.

Indeed, the BoJ's recent hawkish shift, combined with Tokyo's interventions in the FX market, is primarily aimed at increasing the cost of speculative positions against the currency. Still, challenges remain, both political and structural: the prime minister remains cautious about monetary tightening, while Japan's reliance on energy imports and higher oil prices continue to weigh on the trade balance and the yen.

➤ **Rates curve movements**

- -2.8bps on the 10-year JGB, +1.2bps on the 10-year JGB swap spread
- -2bps on the 2s10s swap

Appendix

All figures referenced in the commentary are sourced from Reuters, primarily via the Excel file presented below, which is linked using Reuters formulas. As this is based on the student version of the Reuters Terminal, some quotations may be slightly inaccurate, particularly within the European core and semi-core segments. As a result, movements in the yield curves (2Y, 5Y, 10Y, 30Y) may occasionally appear strange.

Data corresponds to bid prices as of market closing on Friday, May 1 and Friday, May 8.

	Yield				Spread vs. Bund				Spread vs. OAT			
	2Y	5Y	10Y	30Y	2Y	5Y	10Y	30Y	2Y	5Y	10Y	30Y
Allemagne	2,59	2,70	3,00	3,55					-14	-33	-62	-95
var (bps)	- 4,0	- 3,0	- 2,5	+ 0,2					+ 1,0	+ 4,1	+ 4,7	+ 2,8
France	2,73	3,03	3,63	4,49	14	33	62	95				
var (bps)	- 5,0	- 7,1	- 7,2	- 2,6	- 1,0	- 4,1	- 4,7	- 2,8				
Belgique	2,66	2,91	3,45	4,37	7	21	45	83	-7	-12	-17	-12
var (bps)	- 6,6	- 6,7	- 6,5	- 2,3	- 2,6	- 3,7	- 4,0	- 2,5	- 1,6	+ 0,4	+ 0,7	+ 0,3
Autriche	2,61	2,82	3,25	3,85	2	12	25	30	-12	-21	-37	-64
var (bps)	- 8,1	- 5,6	- 5,5	- 1,3	- 4,1	- 2,6	- 3,0	- 1,5	- 3,1	+ 1,5	+ 1,7	+ 1,3
Pays Bas	2,60	2,74	3,06	3,56	1	3	5	1	-13	-30	-57	-94
var (bps)	- 4,0	- 4,4	- 4,2	+ 0,1	+ 0,0	- 1,4	- 1,7	- 0,1	+ 1,0	+ 2,7	+ 3,0	+ 2,7
Finlande	2,71	2,93	3,36	3,92	12	22	35	37	-2	-11	-27	-58
var (bps)	- 5,0	- 7,7	- 4,3	- 0,4	- 1,0	- 4,7	- 1,8	- 0,6	- 0,0	- 0,6	+ 2,9	+ 2,2
Espagne	2,68	2,91	3,43	4,17	9	20	42	62	-5	-13	-20	-33
var (bps)	- 7,1	- 7,4	- 7,4	- 4,2	- 3,1	- 4,4	- 4,9	- 4,4	- 2,1	- 0,3	- 0,2	- 1,6
Italie	2,77	3,12	3,73	4,56	17	42	73	102	3	9	11	7
var (bps)	- 8,9	- 11,0	- 13,3	- 8,3	- 4,9	- 8,0	- 10,8	- 8,5	- 3,9	- 3,9	- 6,1	- 5,7
Portugal	2,63	2,86	3,36	4,02	4	15	36	47	4	15	36	47
var (bps)	- 5,3	- 7,0	- 7,6	- 4,8	- 1,3	- 4,0	- 5,1	- 5,0	- 0,3	+ 0,1	- 0,4	- 2,2
Irlande	2,61	2,73	3,22	3,74	1	2	22	20	-13	-31	-40	-75
var (bps)	- 6,4	- 5,1	- 5,6	- 3,0	- 2,4	- 2,2	- 3,1	- 3,2	- 1,4	+ 1,9	+ 1,5	- 0,3
Grèce	2,74	3,04	3,67	4,39	15	33	66	84	15	33	66	84
var (bps)	- 9,5	- 13,7	- 17,2	- 10,3	- 5,5	- 10,7	- 14,7	- 10,5	- 4,5	- 6,6	- 10,0	- 7,7
Etats-Unis	3,89	4,01	4,36	4,95	130	131	136	140				
var (bps)	+ 0,5	- 0,8	- 1,4	- 1,9	+ 4,5	+ 2,2	+ 1,1	- 2,1				
UK	4,39	4,46	4,92	5,58	179	176	191	203				
var (bps)	- 4,1	- 2,4	- 5,2	- 7,2	- 0,1	+ 0,6	- 2,7	- 7,4				
Japon	1,38	1,86	2,48	3,72	-122	-84	-53	17				
var (bps)	- 0,8	- 1,5	- 2,8	- 0,4	+ 3,2	+ 1,5	- 0,3	- 0,6				
Canada	2,86	3,12	3,47	3,86	27	42	47	31				
var (bps)	- 7,2	- 6,0	- 5,4	- 4,4	- 3,2	- 3,0	- 2,9	- 4,6				
EU	2,67	2,86	3,33	4,11	8	16	32	57	-6,4	-17,1	-29,7	-38,3
var (bps)	- 7,5	- 7,1	- 6,8	- 3,0	- 3,5	- 4,1	- 4,3	- 3,2	- 2,5	0,0	0,4	- 0,4
Swap	2Y	5Y	10Y	30Y	Spread vs Bund				Spread vs OAT			
EUR swap	2,77	2,82	3,00	3,13	18	11	0	-41	3,89	-21,65	-62,56	-136,13
var (bps)	- 6,9	- 7,3	- 5,5	- 0,4	- 2,9	- 4,3	- 3,0	- 0,6	- 1,9	- 0,2	+ 1,7	+ 2,2
					Spread vs UST							
USD swap	3,72	3,72	3,95	4,22	-17	-29	-41	-73				
var (bps)	+ 0,6	+ 1,1	+ 1,7	+ 3,9	+ 0,1	+ 1,9	+ 3,1	+ 5,8				
					Spread vs Gilts							
GBP swap	4,48	4,46	4,70	5,09	9	-1	-22	-49				
var (bps)	- 4,0	- 2,9	- 3,6	- 3,7	+ 0,1	- 0,5	+ 1,6	+ 3,5				
					Spread vs JGB							
JPY swap	1,40	1,85	2,30	3,15	2	-2	-18	-57				
var (bps)	+ 0,4	- 0,7	- 1,6	- 0,1	+ 1,2	+ 0,8	+ 1,2	+ 0,3				
					Spread vs CA							
CAD swap	3,0733	3,2509	3,5439	3,8595	20,93	13,09	6,99	0,05				
var (bps)	- 5,9	- 5,3	- 5,0	- 0,7	+ 1,3	+ 0,7	+ 0,4	+ 3,7				

	Pente cash					
	2s5s	2s10s	2s30s	5s10s	5s30s	10s30s
Allemagne	11	41	95	30	84	54
var (bps)	+ 1,0	+ 1,5	+ 4,2	+ 0,5	+ 3,2	+ 2,7
France	30	89	176	59	146	87
var (bps)	- 2,1	- 2,2	+ 2,4	- 0,1	+ 4,5	+ 4,6
Belgique	26	79	171	54	146	92
var (bps)	- 0,1	+ 0,1	+ 4,3	+ 0,2	+ 4,4	+ 4,2
Autriche	21	65	124	43	103	60
var (bps)	+ 2,6	+ 2,7	+ 6,8	+ 0,1	+ 4,3	+ 4,1
Pays Bas	14	46	0	32	82	50
var (bps)	- 0,4	- 0,2	+ 4,1	+ 0,2	+ 4,6	+ 4,3
Finlande	22	65	0	43	99	56
var (bps)	- 2,7	+ 0,7	+ 4,6	+ 3,4	+ 7,3	+ 3,9
Espagne	23	74	149	52	126	74
var (bps)	- 0,3	- 0,3	+ 2,9	+ 0,0	+ 3,2	+ 3,2
Italie	36	96	180	61	144	83
var (bps)	- 2,0	- 4,4	+ 0,6	- 2,3	+ 2,7	+ 5,0
Portugal	23	74	139	51	116	65
var (bps)	- 1,7	- 2,3	+ 0,5	- 0,6	+ 2,2	+ 2,8
Irlande	12	62	114	50	102	52
var (bps)	+ 1,2	+ 0,7	+ 3,4	- 0,5	+ 2,2	+ 2,7
Etats-Unis	12	47	105	35	93	58
var (bps)	- 1,3	- 1,9	- 2,4	- 0,6	- 1,1	- 0,5
UK	8	53	119	45	112	66
var (bps)	+ 1,7	- 1,1	- 3,1	- 2,8	- 4,8	- 2,0
Japon	49	110	234	62	186	124
var (bps)	- 0,7	- 2,0	+ 0,4	- 1,3	+ 1,1	+ 2,4
Canada	26	61	100	35	74	39
var (bps)	+ 1,2	+ 1,8	+ 2,8	+ 0,6	+ 1,6	+ 1,0
	Pente swap					
	5	23	36	18	32	13
EUR swap	5	23	36	18	32	13
var (bps)	- 0,4	+ 1,4	+ 6,5	+ 1,8	+ 6,9	+ 5,1
USD swap	0	23	49	23	49	26
var (bps)	+ 0,5	+ 1,1	+ 3,3	+ 0,6	+ 2,8	+ 2,2
GBP swap	-2	22	61	24	63	39
var (bps)	+ 1,1	+ 0,4	+ 0,3	- 0,7	- 0,8	- 0,1
JPY swap	45	90	175	45	131	85
var (bps)	- 1,1	- 2,0	- 0,5	- 0,9	+ 0,6	+ 1,5
CAD swap	26	61	100	35	74	39
var (bps)	+ 0,5	+ 0,9	+ 5,1	+ 0,4	+ 4,6	+ 4,2

	Fly cash		
	2s5s10s	2s10s30s	5s10s30s
Allemagne	-19	-13	-24
var (bps)	+ 0,5	- 1,2	- 2,2
France	-29	2	-28
var (bps)	- 2,0	- 6,8	- 4,7
Belgique	-28	-13	-38
var (bps)	- 0,3	- 4,1	- 4,0
Autriche	-22	5	-16
var (bps)	+ 2,5	- 1,5	- 4,0
Pays Bas	-19	-4	-17
var (bps)	- 0,6	- 4,6	- 4,1
Finlande	-21	9	-13
var (bps)	- 6,1	- 3,2	- 0,5
Espagne	-29	0	-22
var (bps)	- 0,3	- 3,5	- 3,2
Italie	-25	13	-23
var (bps)	+ 0,3	- 0,5	- 9,8
Portugal	-28	8	-15
var (bps)	- 1,1	- 5,1	- 3,4
Irlande	-38	10	-2
var (bps)	+ 1,7	- 2,0	- 3,2
Etats-Unis	-23	-11	-23
var (bps)	- 0,7	- 1,4	- 0,1
UK	-37	-13	-21
var (bps)	+ 4,5	+ 0,9	- 0,8
Japon	-13	-14	-62
var (bps)	+ 0,6	- 4,4	- 3,7
Canada	-10	23	-3
var (bps)	+ 0,6	+ 0,8	- 0,4
	Fly swap		
	-14	10	5
EUR swap	-14	10	5
var (bps)	- 2,2	- 3,7	- 3,3
USD swap	-23	-3	-3
var (bps)	- 0,1	- 1,1	- 1,6
GBP swap	-26	-17	-15
var (bps)	+ 1,8	+ 0,5	- 0,6
JPY swap	-1	5	-40
var (bps)	- 0,2	- 3,5	- 2,4
CAD swap	-12	16	-2
var (bps)	+ 0,2	- 3,4	- 3,9